DCF + COMPARABLE COMPANY VALUATION

THE COCA-COLA COMPANY

NYSE: KO

A ~$62 DCF Answer Next to a ~$102 P/E Answer, Same Company, Same Day

View Overvalued — blended fair value ~26% below market

Price as of Aug 21, 2026 close ($91.10)

Data as of Aug 21–24, 2026 · FY2021-FY2025 10-K financials

Prepared for Private Equity / Equity Research portfolio

EXHIBIT 0.1 *Snapshot*

$91.10 SHARE PRICE	**$61.90** DCF (BASE CASE)	**$67.85** BLENDED FAIR VALUE	**(26%)** BLENDED vs. PRICE
6.83% WACC	**$101.68** COMPS — P/E	**$39.97** COMPS — EV/EBITDA	**3** PEER SET SIZE

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01 Summary View

THE ONE-LINE CALL

KO looks overvalued at $91.10. The DCF and the EV/EBITDA comp both point the same direction — a base-case DCF of $61.90/share (-32%) and an EV/EBITDA comp of $39.97/share (-56%). The P/E comp is the outlier at $101.68/share (+12%), and it's also the least trustworthy of the three, pulled up by Monster Beverage's structurally richer multiple. Blended across all three methods, fair value lands around $67.85 — roughly 26% below the current price.

The more useful finding isn't the point estimate, it's the spread between methods. A ~$62 DCF answer sitting next to a ~$102 P/E answer, on the same company, the same day, says most of what you need to know about how much of KO's valuation rides on a handful of assumptions — WACC, terminal growth, and which three companies get picked as peers. Section 4 and the model's sensitivity table and Bear/Base/Bull scenario toggle push on exactly that.

02 Business & Industry Overview

KO sells concentrate and syrup to a global network of bottling partners rather than manufacturing and shipping finished product itself. That's the core of why this is a high-margin, capital-light business next to a fully integrated bottler. Reporting runs across five geographic segments — EMEA, Latin America, North America, Asia Pacific, and Bottling Investments — following the 2025 wind-down of the old Global Ventures segment.

Two structural points matter most for the valuation. First, the concentrate model keeps capex low relative to revenue, which is most of why free cash flow conversion holds up even as growth slows. Second, developed-market beverage demand is close to flat — nearly all of KO's organic growth now comes from pricing/mix and emerging-market share gains rather than volume in the US or Western Europe.

2026's industry backdrop: low- and no-sugar reformulation, functional and RTD-alcohol line extensions, and continued category consolidation. PepsiCo, Keurig Dr Pepper, and Monster Beverage are the closest public comps.

03 Historical Financial Performance

EXHIBIT 3.1 *Five-year financial summary, FY2021–FY2025*

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue ($mm)	38,655	43,004	45,754	47,061	47,941
Revenue Growth %	—	11.3%	6.4%	2.9%	1.9%
Gross Margin %	60.3%	58.1%	59.5%	61.1%	61.6%

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Operating Margin %	29.6%	28.7%	29.0%	30.4%	31.4%
Net Margin %	25.3%	22.2%	23.4%	22.6%	27.3%
Diluted EPS ($)	2.25	2.19	2.47	2.46	3.04
Free Cash Flow ($mm)	11,258	9,534	9,747	4,741	5,296

Source: Company 10-K filings, FY2021-FY2025. Free Cash Flow = Cash Flow from Operations less Capital Expenditures (a proxy; differs slightly from the company's own non-GAAP FCF figure). Full detail on the Historicals tab of the accompanying model.

Margins expanded steadily while growth decelerated — gross margin up roughly 130bps and operating margin up roughly 180bps from FY2021 to FY2025, driven by pricing actions, an increasingly asset-light bottling footprint, and cost discipline. FY2025's net margin jump partly reflects the absence of FY2024's one-off BODYARMOR trademark impairment charge, so FY2024 understates the underlying earnings trend.

Free cash flow was choppier than earnings — it fell sharply in FY2024 and only partially recovered in FY2025. Net income and cash generation haven't moved together for KO in recent years, which matters more than it looks for a DCF, since the model discounts cash, not earnings.

04 DCF Valuation

4.1 Methodology & Key Assumptions

The DCF projects unlevered free cash flow over an explicit five-year window (FY2026E-FY2030E), discounts it at KO's weighted average cost of capital, and adds a Gordon Growth terminal value beyond the explicit period. The table below is the Base case — one of three scenarios built into the model (Bear/Base/Bull, selectable via a dropdown on the DCF Model tab). Bear assumes category growth stalls and input-cost pressure compresses margin; Bull assumes above-guide volume/pricing and faster mix-driven margin expansion. Full formulas, the scenario toggle, and sensitivity live on the DCF Model and Scenarios tabs.

EXHIBIT 4.1 *Base-case DCF assumptions*

Assumption	Value	Basis
Revenue growth (2026E → 2030E)	5.0% → 4.0%	Decelerating toward management's stated 4-5% organic revenue growth guidance
EBIT margin (2026E → 2030E)	31.8% → 33.3%	Gradual expansion from FY2025's 31.4%, consistent with continued refranchising/cost discipline
Tax rate	20.9%	Company-guided underlying effective tax rate (Feb 2026 outlook)
D&A / Capex / ΔNWC	2.5% / 4.4% / 0.3% of revenue	In line with recent historical ratios
Risk-free rate	4.3%	Approx. 10-Year US Treasury yield, Aug 2026

Assumption	Value	Basis
Equity risk premium	5.0%	Standard long-run US ERP assumption
Beta	0.60	Representative consumer-staples beta — reported KO betas vary widely (0.15-0.6+) across data providers
WACC	6.83%	CAPM cost of equity blended with after-tax cost of debt, weighted at market value
Terminal growth rate	2.5%	Long-run nominal GDP/inflation proxy

KO's low beta compresses WACC well below a typical operating company, which pushes the terminal value — and the whole valuation — higher for a given growth rate. That's the main reason this DCF is so sensitive to a single input: the market prices KO as a defensive, low-volatility name, and the DCF inherits that assumption directly through beta.

4.2 DCF Output

EXHIBIT 4.2 *Valuation bridge*

Metric	Value
Sum of PV of Explicit FCF (FY26-30E)	See DCF Model tab
PV of Terminal Value	See DCF Model tab
Enterprise Value	$297bn (approx.)
Less: Net Debt (FY2025)	$32.1bn
Implied Equity Value	$265bn (approx.)
Implied Value per Share	$61.90
Current Share Price (Aug 21, 2026)	$91.10
Implied Downside	(32%)

$61.90	$91.10	(32%)
DCF FAIR VALUE	CURRENT PRICE	IMPLIED DOWNSIDE

The WACC-terminal growth spread is narrow — 6.83% minus 2.5% is 4.33 points — so terminal value carries most of the valuation, and small input changes move the answer a lot. The sensitivity table on the DCF Model tab (color-scaled to make the pattern easier to read) spans a 5.83%-7.83% WACC range and a 1.5%-3.5% terminal growth range. At the low end of WACC or the high end of growth, the DCF lands at or above the current price. That range is the real answer here, more than any single point estimate.

05 Comparable Company Analysis

KO was benchmarked against three global beverage peers: PepsiCo (a diversified snacks-and-beverage peer with a larger, more North America-weighted revenue base and the closest match in business mix), Keurig Dr Pepper (a smaller, more North America-concentrated peer that closed an $18bn acquisition of JDE Peet's in April 2026), and Monster Beverage (a higher-growth, higher-multiple energy drinks pure-play).

EXHIBIT 5.1 *Peer trading multiples*

Company	Price	Market Cap	Net Debt (est.)	Enterprise Value	P/E (TTM)	EV/EBITDA
PepsiCo (PEP)	$142.62	$195,460	$42,963	$238,423	27.2x	11.6x
Keurig Dr Pepper (KDP)	$30.91	$43,000	$25,000	$68,000	22.4x	12.1x
Monster Beverage (MNST)	$70.03	$68,090	($3,419)	$64,671	42.0x	n/a*
Peer Average					30.5x	11.9x

*Net debt for PepsiCo and Monster Beverage is sourced from each company's Q2 FY2026 10-Q (total debt less cash & equivalents/short-term investments); KDP's is an estimate. Monster carries no debt and sits in a net cash position. *Monster's EV/EBITDA (~32.8x, GuruFocus, TTM to Mar-26) is shown for reference but deliberately excluded from the peer average — its growth and margin profile differ enough from PepsiCo/KDP that folding it in would distort the average more than inform it. KDP's P/E is still noisy: one-off costs from the JDE Peet's deal are running through trailing earnings, so treat that multiple with caution.*

Applying the peer-average P/E of ~30.5x to KO's TTM EPS of $3.33 gives roughly $101.68/share — modest upside. Applying the peer-average EV/EBITDA of ~11.9x to KO's TTM EBITDA gives roughly $39.97/share — steep downside. That gap is really a Monster Beverage artifact: its 42x P/E pulls the P/E peer average up, with no EV/EBITDA data point pulling the other average up alongside it. KO's own EV/EBITDA multiple, ~24.6x against a ~11.9x peer average, is the more useful number here — it's not equally visible in the P/E comparison.

06 Valuation Summary

The Summary tab of the model includes a football field chart plotting all three ranges against the current price — worth a glance alongside the table below.

EXHIBIT 6.1 *Blended valuation across all three methods*

Method	Implied Value/Share	vs. Current Price ($91.10)
DCF (base case)	$61.90	(32%)
Comps — P/E	$101.68	+12%
Comps — EV/EBITDA	$39.97	(56%)
Blended average	$67.85	(26%)

Live figures with full formula precision are on the Summary tab of the accompanying workbook, which recalculates automatically if any assumption changes.

07 Investment View & Limitations

KO reads as fully valued to expensive at current levels. The EV/EBITDA comp and the DCF both point the same way; the P/E comp is the outlier, and it's the shakiest of the three given the small, heterogeneous peer set and KDP's distorted trailing earnings. The more defensible read is that KO's premium over its beverage peers is real — brand strength, a capital-light model, defensive earnings — rather than a modeling artifact. The open question is sizing: is ~24.6x EV/EBITDA the right price for that quality, or has the market pushed past it. That's the actual investment call here, and the sensitivity table and scenario toggle exist so it can be pressure-tested directly rather than taken on faith.

Key limitations

- Small peer set (n=3): a larger comp set — e.g. Coca-Cola Europacific Partners, Coca-Cola Femsa, Celsius Holdings — would likely narrow the spread between the P/E and EV/EBITDA answers.
- Beta uncertainty: reported betas for KO vary substantially across data providers, and WACC — and therefore terminal value — is highly sensitive to this one input.
- D&A is estimated at 2.5% of revenue off KO's historical run-rate, not pulled directly from a filing.
- KDP's trailing P/E is distorted by one-off costs from its April 2026 JDE Peet's acquisition, reducing the reliability of the peer-average P/E figure.
- The DCF runs Bear/Base/Bull scenarios rather than a single point estimate — the sensitivity table and scenario toggle capture the range of outcomes better than the base case alone.

08 Sources

- The Coca-Cola Company, Form 10-K, FY2025 (SEC EDGAR)
- The Coca-Cola Company, Q4 & Full Year 2025 Results press release (Feb 10, 2026)
- PepsiCo, Inc., Form 10-Q, Q2 FY2026 (SEC EDGAR)
- Monster Beverage Corporation, Form 10-Q, Q2 FY2026 (SEC EDGAR)
- stockanalysis.com — KO Financials Overview (accessed Aug 2026)
- GuruFocus — MNST EV/EBITDA (accessed Aug 2026)
- TipRanks, FinanceCharts.com, Macrotrends, Multiples.vc — peer market data snapshots (Aug 2026)